

The investment world in India is vastly different today from what it was even a decade ago. On one hand, the relative outperformance of actively managed funds has come down but on the other the increased transparency and lower costs along with the advisory model (where you pay the adviser to look after your interests) promise a far more effective platform for investors to build long-term wealth.

The central theme in all our chapters is the power of compounding, which needs time to show its effectiveness. Many investors have developed cold feet at the first signs of volatility and exited. Only when you stay invested through multiple cycles will compounding be able to work its magic for you. It is thus important to curb the propensity to keep checking your portfolios regularly. We have shown how a 'Coffee Can' of good-quality stocks outperforms indices on a consistent basis.

Expensive funds have no place in a modern-day portfolio where it has become very hard for a specific fund manager to consistently outperform his peers. The impact of expenses is deceptively high on the portfolio because expenses compound too. All over the world actively managed funds are ceding ground to passive funds which charge a fraction of the former's fees. The SEBI has taken the lead in India and through direct schemes has removed the middlemen, i.e. distributors and brokers. The regulator is fighting a battle against the flawed distribution model where the investor's interests don't align with those of distributors. Already, the SEBI's push is resulting in many Indian families choosing the 'advisory' model.

India today presents a colossal opportunity for those who want to patiently and systematically generate wealth over the next two decades. While large-cap stocks will be the anchor for most investors, mid- and small-cap stocks have the potential to give super-normal returns to the investor. Think of Eicher Motor's eighty-four times return (55 per cent annualized) over the past ten years. However, it is important to invest in companies which are 'good & clean'. Retail investors have burnt their hands time and again by investing in unscrupulous companies. It is one of the reasons why India, even with a market capitalization of US\$ 2 trillion, has one of the lowest rates of stock